

ONE YEAR OUTLOOK

Business & Earnings ◀▶

- Maintain ADD rating on EXID with a TP of Rs. 365. EXID is likely to benefit from healthy aftermarket growth and thrust on exports, albeit near-term headwinds due to geopolitical uncertainty. We believe the advent of alternate fuel vehicles (CNG, LNG among others) would aid lead acid growth. EXID would also benefit from: 1) increased Li-ion capacity to support demand from industrial and auto clients, and 2) favourable sourcing benefits from SVOLT tie-up. However, we believe partial benefits of Li-ion manufacturing are factored in the share price, while EXID faces ramp-up challenges with limited visibility on LT margins. We revise margin downwards factoring in a substantial increase in RM basket cost across lead, plastics and other key inputs. We continue to monitor price hikes (~8% from Jan to Apr-26) to pass through elevated RM cost.
- In 4QFY26, standalone revenue was up 9% YoY. Auto OEM grew 25% YoY, while AM and industrial (ex-telecom and exports) grew double-digit. However, sharp decline in telecom (-50% YoY) and exports hurt overall growth. GM fell 150bps QoQ due to elevated RM prices. See revenue growth of ~16% CAGR (FY26-28E) on the back of aforesaid drivers. We factor in Li-ion cell manufacturing capacities to ramp through FY27 with optimal yields from FY28. Factoring in elevated RM cost, expect lead acid (LAB) margin at ~11% in FY27-28E.
- EXID’s multi-gigawatt hour lithium-ion cell facility is expected to ramp up through 2HFY27. Expect a capex of ~Rs. 28bn (FY27-FY28E) including Rs. 15bn towards Li-ion.

Valuation Multiples ◀▶

- Our TP of Rs. 365 is based on 16x FY28E EPS with lead acid (Rs. 260, ~71% of overall TP), Rs. 62 from Li-ion operations (DCF based due to back-ended benefits) and Rs. 43 for HDFC Life stake. The li-ion valuation assumes projected utilization levels of ~15 GWh by 2040 (90% utilization) & low double-digit EBITDA margins post 90% utilisation.

FINANCIAL SUMMARY

	Net Sales (Rs mn)	EBITDA (%)	PAT (Rs mn)	EPS (Rs)	P/E (x)	EV/EBITDA (x)	ROE (%)
FY24	1,60,292	11.7	10,530	12.4	28	16	9
FY25	1,65,881	11.4	10,769	12.7	28	16	8
FY26	1,72,689	11.3	11,181	13.2	27	15	8
FY27E	1,88,143	10.9	12,104	14.2	25	15	8
FY28E	2,03,493	10.9	13,973	16.4	21	13	9

THREE YEAR OUTLOOK

Business & Earnings ◀▶

- EXID’s subsidiary, Exide Energy Solutions Ltd (EESL), is poised to establish a Li-ion cell manufacturing capacity of 12 GWh by 2027 in Karnataka, entailing a capex of Rs. 60 bn. EXID’s technical partnership with SVOLT enables: 1) favourable RM sourcing, 2) an irrevocable right to use the technology, & 3) know-how to manufacture Li-ion batteries in India. EXID’s financials are bolstered by substantial cash generation from lead acid operations, and Rs.63bn as value of the stake in HDFC Life. Post Hyundai and Kia signing MoU with EXID, other OEMs are exploring the possibility of sourcing batteries from SVOLT. At the end of phase-1 of capex, EXID would have homologated its capacities by end-FY27 and there are plans for an additional 6 GWH to be commissioned over long term.
- Exide Energy Private Limited (erstwhile Exide Leclanche JV) is equipped with fully automated lithium-ion assembly lines for battery packs and modules. The company was merged with EESL in FY24, enabling EXID to be more cost-competitive.
- Exide’s efforts to improve its production processes and access to technology in the lead acid segment, through technical tie-ups including Shin Kobe, Furukuwa/East Penn, are expected to facilitate headway in existing segments and lead to continued improvement in production efficiencies.

Valuation Multiples ◀▶

- Expect EXID to report a consolidated revenue and PAT CAGR of 13% & 26% through FY26-FY30E. Penciling Li-ion operations to contribute ~15% to consolidated revenues by FY30. While return ratios are likely to be under duress due to significant capex, expect ramp-up in li-ion capacities to improve operating efficiencies & return profile.

KEY ESTIMATES REVISION

	FY27E			FY28E		
	Old	New	Change	Old	New	Change
Sales	1,88,930	1,88,143	0%	2,04,370	2,03,493	0%
EBITDA (%)	11.8%	10.9%	-99 bps	11.9%	10.9%	-99 bps
PAT	12,826	12,104	-6%	14,944	13,973	-6%
EPS	15.1	14.2	-6%	17.6	16.4	-6%
PE	Before Results:		17.0	After Results:		16.0

OUTLOOK REVIEW 4QFY26
7 May 2026

Industry	AUTOMOBILE
Key Stock Data	
Bloomberg	EXID IN
Shares o/s	850mn
Market Cap	Rs. 299bn (\$3,227mn)
52-wk High-Low	Rs. 431-287
3m ADV	Rs. 838mn (\$9mn)
F&O	Yes

Latest Shareholding (%)

	Sep-25	Dec-25	Mar-26
Promoters	46.0	46.0	46.0
Institutions	29.3	29.6	29.4
Public	24.7	24.4	24.6
Pledge	0.0	0.0	0.0

Stock Performance (%)

	1m	3m	12m
EXID	17.8	4.5	-4.9
Sensex	5.2	-6.4	-3.3

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Quarterly Financial Statement

- Standalone revenue for the quarter came in at Rs. 45.5 bn, up 9% YoY. The Auto OEM business grew 25%+ YoY, while the 2W/4W replacement business grew in double digits. Industrial Infra business (excluding Telecom) continued its double-digit growth trajectory, and Inverters and Solar business growth was in mid-to-high teens; however, this was offset by a nearly 50% de-growth in Telecom and a double-digit decline in the Exports business amid geopolitical conflicts.
- Subsidiary revenues was at Rs. 1.8 bn, up 5% YoY. Subsidiary Gross margin for the quarter at 69.4%, was down ~60bps QoQ.
- Standalone Gross margin for the quarter at 30.1%, was down ~150bps QoQ primarily due to increasing pressure on raw material prices, as the second half of Q4 was severely impacted by the on-going West Asia conflict where costs of multiple commodities went up drastically, further impacted by abnormal rupee depreciation.
- Employee costs as % of revenue decreased ~50bps QoQ; absolute employee costs at Rs. 2.8bn was up 5% YoY.
- Other expenses as % of revenue decreased ~100bps QoQ; absolute costs at Rs. 5.6bn was down 1% YoY.
- Consequently, standalone EBITDA came in at Rs. 5.3 bn, up 14% YoY. EBITDA margin for the quarter came in at 11.7%, flat QoQ led by cost control measures.
- PAT came in at Rs. 3.1 bn, up 23% YoY.
- In 4QFY26, Exide invested Rs. 6bn in its wholly owned subsidiary, Exide Energy Solutions Limited (EESL), taking total investments in EESL in FY26 and to date to Rs. 15bn and Rs. 48.0bn, respectively.

Standalone Financial Results

Rs. mn\Period	3QFY26	3QFY25	yoy Growth	2QFY26	qoq Growth	9MFY26	9MFY25	Yoy Growth
Revenue	45,511	41,594	9.4%	40,297	12.9%	1,72,689	1,65,881	4.1%
Raw Material	31,821	28,604	11.2%	27,574	15.4%	1,19,911	1,13,891	5.3%
Employee cost	2,751	2,614	5.2%	2,637	4.3%	10,811	10,558	2.4%
Other cost	5,635	5,709	-1.3%	5,391	4.5%	22,540	22,501	0.2%
Total Expenditure	41,365	38,195	8.3%	36,871	12.2%	1,58,270	1,51,989	4.1%
Reported EBITDA	5,304	4,667	13.7%	4,696	13.0%	19,429	18,931	2.6%
<i>Reported Margin %</i>	11.7%	11.2%	43 bps	11.7%	0 bps	11.3%	11.4%	-16 bps
Depreciation	1,158	1,268	-8.7%	1,270	-8.8%	5,010	5,039	-0.6%
EBIT	4,146	3,399	22.0%	3,426	21.0%	14,419	13,892	3.8%
Other income	142	161	-11.6%	183	-22.4%	931	962	-3.2%
Net Interest exp (inc)	84	130	-35.3%	85	-0.7%	349	439	-20.6%
PBT	4,204	3,430	22.6%	3,434	22.4%	14,911	14,415	3.4%
Tax provision	-1,080	-884	22.2%	-857	26.0%	-3,797	-3,646	4.2%
<i>Tax rate %</i>	25.7%	25.8%	-9 bps	25.0%	73 bps	25.5%	25.3%	18 bps
PAT (Adjusted)	3,124	2,546	22.7%	2,645	18.1%	11,181	10,769	3.8%
<i>PAT margin (%)</i>	6.9%	6.1%	74 bps	6.6%	30 bps	6.5%	6.5%	-2 bps
Shares Outstanding	850	850		850		850	850	
EPS (Adjusted)	3.7	3.0	22.7%	3.1	18.1%	13.2	12.7	3.8%

Earnings Call – Key Takeaways

Business	4QFY25	2QFY26	3QFY26	4QFY26
Lithium-Ion Business	- Construction progressed, with equipment commissioning by Chinese engineers underway. - Trial production expected within CY25 and commercial production in FY26. (Lithium-ion: cumulative equity Rs. 36bn; ~Rs. 10bn in FY25 + Rs. 3bn in Apr; binding Hyundai agreement; advanced talks with two leading 2W OEMs.)	- Equipment installation nearing completion, with process validation and sample preparation underway. - Production expected toward end-FY26. (Lithium-ion: cumulative equity Rs. 39.5bn; Rs. 5.8bn in H1 + Rs. 650mn in Oct; Line-1 cylindrical (2W) with samples for two OEMs.)	- Internal validation of Cylindrical Line 1 commenced; Prismatic Line 3 near internal acceptance; Line 4 installation scheduled to complete by April. - Commercial dispatches expected in FY26 end. (Lithium-ion: cumulative equity Rs. 42.5bn; Rs. 3.2bn in Q3 + Rs. 500mn in Jan; Board approved Rs. 14bn FY26 funding; Line-1 (2W) validation ongoing; Line-3 (3W/e-rickshaw) samples initiated.)	Cylindrical (NMC) sample supplies start this month; customer validation 2-3 months. Prismatic (LFP) samples by Jun-Jul; revenue to start earlier than cylindrical. 6 GWh Phase 1 split 3 GWh cylindrical (2W) + 3 GWh prismatic (4W, buses, telecom, BESS). Targeting 90% yield, 85%+ utilization to match imported cell landed cost. China VAT change adds 3% now + 6% by Jan-27 to imports. Hyundai-Kia is separate co-investment, incremental over 6 GWh.
Lead Acid Business	Auto replacement and industrial (ex-telecom) delivered double-digit growth, solar grew ~25-27%, while telecom declined ~25-30%, dragging overall growth to modest single digits.	Overall Revenue declined ~2.1% YoY due to dealer destocking following GST rate cuts (28% to 18%), impacting OEM, solar (-5%), and discretionary segments; replacement remained resilient, infra stayed positive, and telecom continued to decline.	Auto replacement grew ~25%, industrial/infra returned to double-digit growth, solar recovered to ~12% (9M), while telecom fell to ~1% of revenue, reflecting structural decline.	~92% of business grew ~16%; balance 8% (exports + telecom + e-rickshaw) declined. Auto OEM +25% YoY (2nd consecutive quarter, highest-ever). 2W/4W replacement at mid-teens growth. Home UPS highest-ever Q4; Solar crossed Rs. 10.0 Bn for FY26.
Commodity Prices & RM Impact	- Antimony surged (USD 11k to USD 60k/ton). Negative impact of INR 500mn in Q4. - Write-off of INR 250 mn for slow-moving assets.	- Continuous pressure on input costs. - Production cuts taken to manage inventory, generating INR 5bn free cash.	Antimony softened (USD 33k) but others surged: Silver (+50%), Tin (+12%), Copper (+13%), Sulfur (+40%).	Net material cost impact ~Rs. 1.5Bn negative in Q4. Lead/acid/plastic ~95-96% of BOM. Sulfur up 5x YoY (Rs. 15/kg to Rs. 75/kg, +40% QoQ); sulfuric acid +20% QoQ; PP hit in Q4 on crude shortage. Lead LME softer but rupee -10% offset benefit; LME spiked to Rs. 1,950 in April.
Price Hikes	Status: 1.5% mid-Feb, 1.5% March 1st. Further hike announced for April 1st to cover Antimony inflation.	Status: paused price corrections to pass GST rate cut benefits (28% to 18%) to end consumers.	Status: 2% price hike taken in Jan-26 to offset Silver/Tin/Copper inflation.	Aftermarket hikes on Jan 1, Mar 1, Mar 20 (cumulatively ~5-6%) and ~3% on Apr 1; more hikes expected in May/June. OEM lead is formula-based pass-through; non-lead negotiated with ~1 quarter lag - some agreed, others ongoing.
Capex & Outlook	- Lead Acid: 50% of 2W capacity converted to Punched Grid; 100% by Nov '25. - Continuous casting line commissioned.	- Li-Ion: Production expected end of FY26. - Lead Acid: Auto OEM demand expected to uptick in Q3 due to GST cuts.	- Li-Ion: Line 1 (Cylindrical) validation ongoing. Line 4 commissioning by April '26. - Lead Acid: Capex guidance ~INR 5bn/year. Margin expansion of 100-150 bps targeted.	- Rs. 14.0 Bn for FY27 (CapEx + WC), sufficient for Phase 1; Hyundai-Kia capex incremental. Non-current investments down ~Rs. 8.5 Bn is MTM on HDFC Life (no shares sold), routed through OCI. - Cumulative equity investment at Rs. 48.0 Bn (Rs. 6.0 Bn in Q4, Rs. 15.0 Bn in FY26).

Abridged Financials

in Rs. Bn	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Standalone operations (Lead Acid)								
Revenues	145.9	160.3	165.9	172.7	188.1	203.5	220.0	237.0
YoY (%)		10%	3%	4%	9%	8%	8%	8%
EBITDA	15.7	18.7	18.9	19.4	20.4	22.2	24.3	26.5
EBITDA (%)	10.7%	11.7%	11.4%	11.3%	10.9%	10.9%	11.1%	11.2%
PAT	9.0	10.5	10.8	11.2	12.0	14.0	17.6	22.0
PAT (%)	6.2%	6.6%	6.5%	6.5%	6.4%	6.9%	8.0%	9.3%
Net Block	28.5	28.7	28.8	27.7	27.6	27.4	27.1	26.8
HDFC Life stake (Non-current investment)	43.4	51.4	51.4	51.4	51.4	51.4	51.4	51.4
EESL (SVOLT JV) subsidiary (Non-current investment)	7.2	18.7	33.2	41.7	57.0	58.7	60.6	62.4
Other subsidiary (Non-current investment)	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3
Cash & cash equivalents	6.3	4.7	2.6	4.2	-1.5	8.6	22.1	41.8
Net Working Capital	17.3	12.1	13.5	8.4	9.1	9.9	10.7	11.5
NWC days	43	28	30	18	18	18	18	18
Capital Employed - Lead Acid	109.9	122.9	136.7	140.7	150.9	163.2	179.1	201.2
Li-Ion cell manufacturing operations								
Revenues				0.0	14.9	31.8	42.9	44.4
YoY (%)					NM	113%	35%	3%
EBITDA				0.0	-2.2	-1.6	0.9	2.4
EBITDA (%)				NM	-15.0%	-5.0%	2.0%	5.5%
PBT				-3.0	-6.1	-6.3	-3.8	-2.3
PBT (%)				NM	-40.8%	-19.7%	-8.8%	-5.1%
Net Block				40.4	52.1	49.7	47.2	44.7
Net Working Capital				0.0	1.2	2.6	3.5	3.6
NWC days				30	30	30	30	30
Capital Employed - Li-ion				40.4	53.3	52.3	50.7	48.3
Consolidated								
Revenues	147.0	162.7	167.0	174.0	204.5	235.3	262.9	281.4
YoY (%)		11%	3%	4%	18%	15%	12%	7%
EBITDA	14.8	17.5	17.1	19.3	18.1	20.6	25.2	29.0
EBITDA (%)	10.1%	10.8%	10.3%	11.1%	8.9%	8.8%	9.6%	10.3%
EBIT	10.1	12.3	11.8	11.0	9.2	11.1	15.3	18.7
EBIT (%)	6.8%	7.6%	7.1%	6.3%	4.5%	4.7%	5.8%	6.6%
PAT	8.3	9.4	9.2	8.0	7.3	9.7	14.8	20.3
PAT (%)	5.6%	5.8%	5.5%	4.6%	3.6%	4.1%	5.6%	7.2%
Net Block	28.5	41.9	56.5	68.1	79.7	77.1	74.3	71.4
Cash & cash equivalents	52.3	62.5	66.5	60.4	46.5	53.6	67.0	87.3
Net Working Capital	19.9	14.8	17.7	13.1	10.3	12.5	14.2	15.1
NWC days	49	33	39	27	18	19	20	20
Capital Employed - Consolidated	100.7	119.2	140.7	141.5	136.6	143.1	155.5	173.8

Exide Industries Outlook Review 4QFY26 | Rating: ADD | TP: Rs. 365

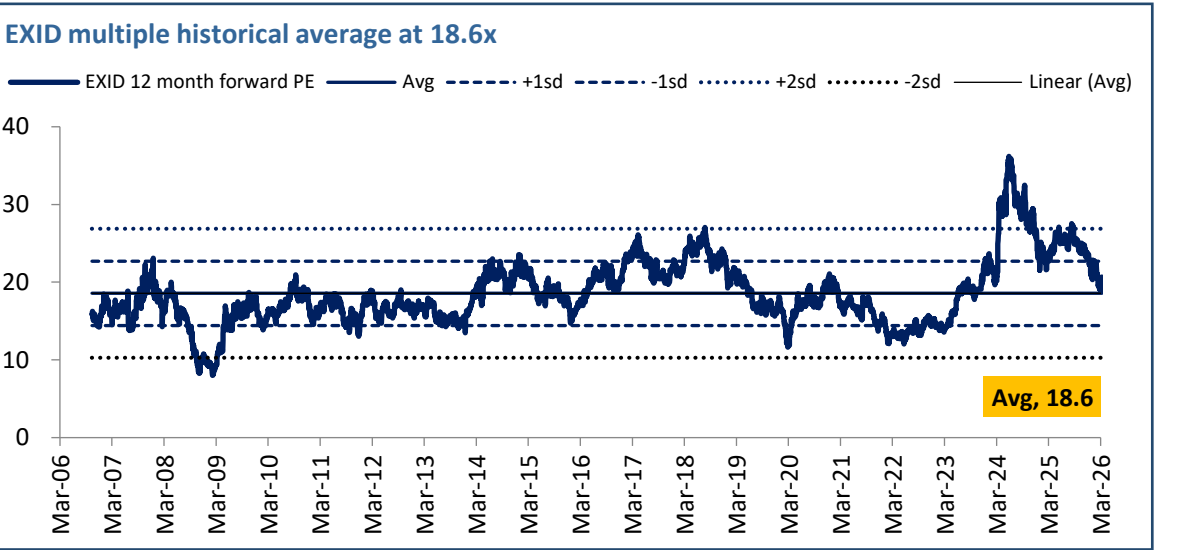
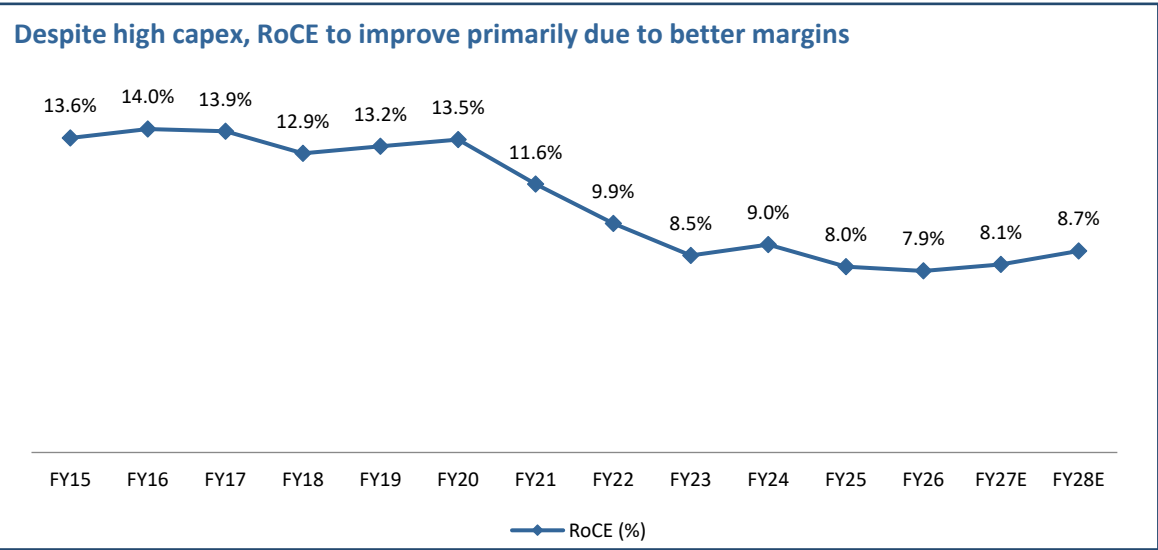
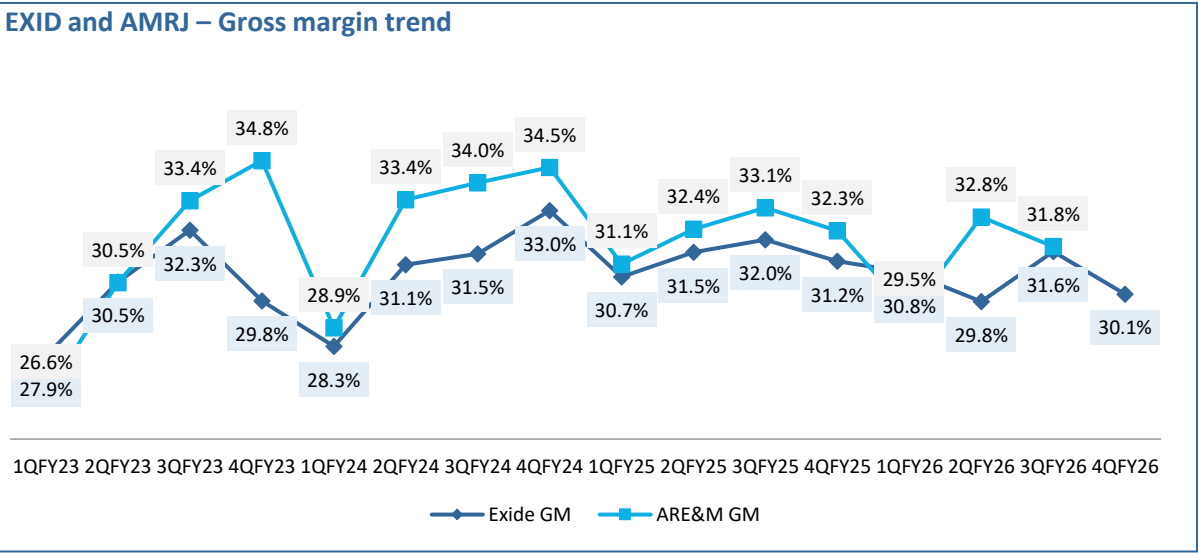
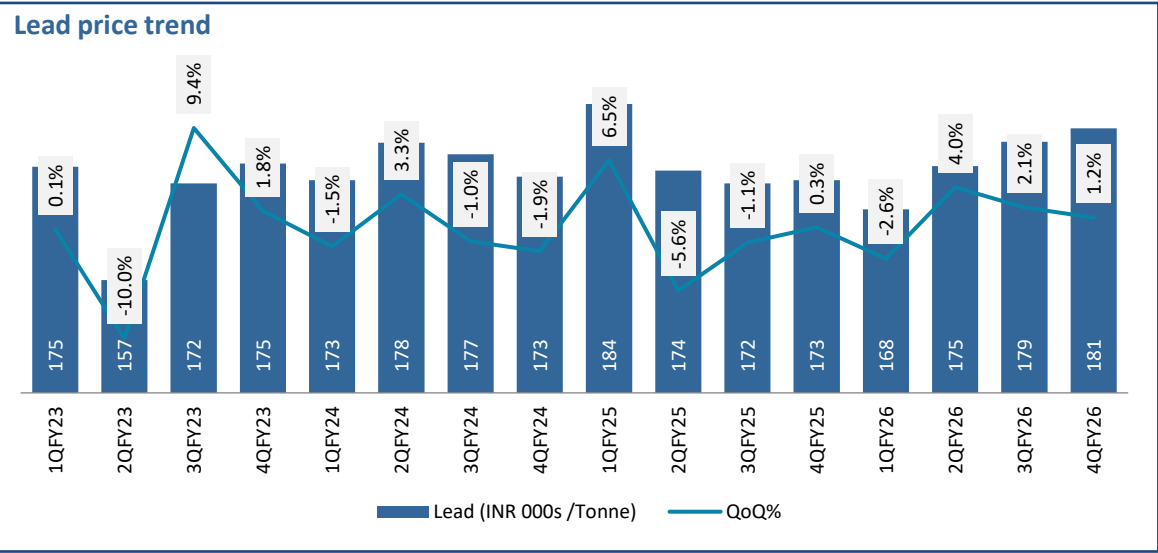
Exide: In our base case, the li-ion business is valued at ~Rs. 52.3bn – assuming projected utilization levels of 15 GWh (90% utilization level) and low double digit margins for FY40. Additionally, the LAB segment contributes Rs. 260/share to the overall target price of Rs. 365 per share.

Exide: Li-ion Batteries (Li-Ion)	FY23-25	FY26	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35																
Revenue (Rs. Bn)	Immaterial	0.0	14.9	31.8	42.9	44.4	51.0	65.3	86.5	100.9	111.5																
YoY (%)			NM	113%	35%	3%	15%	28%	33%	17%	11%																
EBITDA (Rs. Bn)		0.0	-2.2	-1.6	0.9	2.4	3.6	5.2	7.4	9.1	10.0																
% Margins		NM	-15.0%	-5.0%	2.0%	5.5%	7.0%	8.0%	8.5%	9.0%	9.0%																
Capex (Rs. Bn)		8.5	15.3	1.8	1.8	1.9	7.8	7.5	7.2	6.9	5.2																
FCFF (Rs. Bn)		-8.5	-18.8	-4.7	-1.9	0.5	-4.8	-3.4	-1.6	1.0	4.0																
RoIC (%)		-11%	-9%	-8%	-5%	-3%	-2%	0%	3%	4%	5%																
Lithium-Ion Operations	FY28	Key Assumptions <table><tr><td></td><td>FY26</td><td>FY30</td><td>FY35</td></tr><tr><td>Capacities (GWh)</td><td>6.0</td><td>6.0</td><td>13.0</td></tr><tr><td>Utilisation (%)</td><td>0%</td><td>80%</td><td>90%</td></tr><tr><td>Battery Pack (\$/KWh)</td><td>102</td><td>97</td><td>100</td></tr></table> - Factoring higher li-ion adoption across automotive, telecom, and energy storage solutions for key end-user industries. - Margins (post royalty payout) estimated to reach LAB levels over long run. - Incremental capex per GWh estimated to reduce with increasing scale											FY26	FY30	FY35	Capacities (GWh)	6.0	6.0	13.0	Utilisation (%)	0%	80%	90%	Battery Pack (\$/KWh)	102	97	100
	FY26	FY30	FY35																								
Capacities (GWh)	6.0	6.0	13.0																								
Utilisation (%)	0%	80%	90%																								
Battery Pack (\$/KWh)	102	97	100																								
Terminal Growth (%)	6%																										
WACC (%)	13%																										
Discounted FCFF (Rs. Bn)	2.3																										
PV of Terminal Value (Rs. Bn)	56.4																										
EV (Rs. Bn)	58.7																										
Less: Net Debt/(net Cash) (Rs. Bn)	6.4																										
Implied Market Cap (Rs. Bn)	52.3																										
Outstanding Shares (Mn)	850																										
Target Price (Rs.)	62																										

Exide: Consolidated (LaB + Li-ion)	FY23	FY24	FY25	FY26	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35
RoIC (%)	16%	18%	14%	11%	8%	9%	13%	16%	19%	20%	22%	24%	26%

	FY28E	FY30E
P/E Multiple	16	16
Lead Acid EPS (Rs.)	16.4	25.9
Lead Acid TP (Rs.)	260	414
Li-Ion TP (Rs.)	62	89
HDFC Life Stake	43	43
Total TP (Rs.)	365	546

Return profile to remain subdued



Financial Summary

Standalone Financial Statements

Rs mn	FY21	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Profit & Loss										
Revenue	1,00,408	1,23,817	1,45,919	1,60,292	1,65,881	1,72,689	1,88,143	2,03,493	2,20,013	2,36,970
Gross profit	34,613	38,064	43,933	49,608	51,991	52,779	56,185	60,769	65,922	71,240
EBITDA	13,556	13,956	15,680	18,714	18,931	19,429	20,415	22,182	24,313	26,542
Depreciation	3,794	4,126	4,558	4,975	5,039	5,010	5,071	5,280	5,560	5,847
EBIT	9,762	9,830	11,122	13,739	13,892	14,419	15,343	16,901	18,752	20,695
Other Income	654	803	1,324	845	962	931	1,181	2,120	5,079	9,032
Interest expense	238	384	295	486	439	349	349	349	349	349
Exceptional items	0	46,938	0	0	0	-90	0	0	0	0
PBT	10,179	57,186	12,151	14,099	14,415	14,911	16,175	18,673	23,483	29,379
Reported PAT (after minority interest)	7,583	46,835	9,036	10,530	10,769	11,113	12,104	13,973	17,572	21,984
Adj PAT	7,583	7,877	9,036	10,530	10,769	11,181	12,104	13,973	17,572	21,984
EPS (Rs.)	8.9	9.3	10.6	12.4	12.7	13.2	14.2	16.4	20.7	25.9
Balance Sheet										
Net Worth	68,935	1,06,056	1,12,098	1,31,372	1,44,423	1,46,736	1,57,140	1,69,413	1,85,285	2,05,569
Total debt	0	0	0	0	0	0	0	0	0	0
Other liabilities and provisions	10,100	11,200	13,053	14,092	15,229	14,421	15,712	16,994	18,373	19,789
Total Networth and liabilities	79,805	1,17,256	1,23,991	1,45,328	1,59,760	1,61,157	1,72,852	1,86,407	2,03,659	2,25,359
Gross Fixed assets	43,233	48,659	53,703	58,827	63,973	67,934	72,934	77,934	83,234	88,734
Net fixed assets	26,716	28,016	28,503	28,652	28,759	27,711	27,639	27,359	27,099	26,752
Capital work-in-progress	2,008	3,124	1,009	2,017	1,375	1,623	1,623	1,623	1,623	1,623
Intangible Assets	0	0	0	0	0	0	0	0	0	0
Investments	30,586	60,434	63,414	86,206	99,719	1,07,341	1,22,644	1,24,406	1,26,220	1,26,274
Cash and bank balances	914	1,612	745	2,227	1,159	1,690	114	10,162	23,679	43,434
Loans & advances and other assets	3,729	3,735	3,048	4,288	3,138	4,677	5,096	5,511	5,959	6,418
Net working capital	15,853	20,334	27,272	21,939	25,609	18,115	19,736	21,346	23,079	24,858
Total assets	79,805	1,17,256	1,23,991	1,45,328	1,59,760	1,61,157	1,72,852	1,86,407	2,03,659	2,25,359
Capital Employed	69,706	1,06,056	1,10,938	1,31,236	1,44,531	1,46,736	1,57,140	1,69,413	1,85,285	2,05,569
Invested Capital (CE - cash - CWIP)	64,246	98,781	1,06,645	1,24,453	1,41,997	1,43,423	1,55,403	1,57,628	1,59,983	1,60,513
Net debt	-9,739	-8,640	-6,276	-4,733	-2,573	-4,233	-2,657	-12,705	-26,222	-45,976
Cash Flow										
Cash flows from Operations (Pre-tax)	16,855	10,597	11,696	23,672	16,706	26,209	20,498	23,210	28,242	34,404
Cash flows from Operations (post-tax)	14,134	122	8,484	19,965	12,979	22,312	16,426	18,510	22,332	27,009
Capex	3,396	5,824	3,716	4,903	4,413	4,191	5,000	5,000	5,300	5,500
Free cashflows	10,738	-5,702	4,768	15,063	8,566	18,120	11,426	13,510	17,032	21,509
Free cashflows (post interest costs)	10,500	-6,087	4,768	15,063	8,566	18,120	11,426	13,510	17,032	21,509
Cash flows from Investing	-12,769	2,730	-8,878	-16,172	-11,803	-19,626	-20,303	-6,762	-7,114	-5,554
Cash flows from Financing	-1,989	-2,143	-461	-2,301	-2,239	-2,152	2,300	-1,700	-1,700	-1,700
Total cash & liquid investments	9,739	8,640	6,276	4,733	2,573	4,233	2,657	12,705	26,222	45,976

Financial Summary

Standalone Financial Statements

Growth ratios (%)	FY21	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Revenue	1.9	23.3	17.9	9.8	3.5	4.1	8.9	8.2	8.1	7.7
EBITDA	-0.7	3.0	12.4	19.3	1.2	2.6	5.1	8.7	9.6	9.2
Adj PAT	-10.5	3.9	14.7	16.5	2.3	3.8	8.3	15.4	25.8	25.1
Margin ratios (%)										
Gross	34.5	30.7	30.1	30.9	31.3	30.6	29.9	29.9	30.0	30.1
EBITDA	13.5	11.3	10.7	11.7	11.4	11.3	10.9	10.9	11.1	11.2
Adj PAT	7.6	6.4	6.2	6.6	6.5	6.5	6.4	6.9	8.0	9.3
Performance ratios										
Pre-tax OCF/EBITDA (%)	124.3	75.9	74.6	126.5	88.2	134.9	100.4	104.6	116.2	129.6
OCF/IC (%)	22.0	0.1	8.0	16.0	9.1	15.6	10.6	11.7	14.0	16.8
RoE (%)	11.5	9.0	8.3	8.6	7.8	7.7	8.0	8.6	9.9	11.2
RoCE (%)	11.6	9.9	8.5	9.0	8.0	7.9	8.1	8.7	10.1	11.4
RoCE (Pre-tax) (%)	15.6	12.1	11.5	12.0	10.8	10.5	10.9	11.7	13.4	15.2
Fixed asset turnover (x)	2.5	2.7	2.9	2.8	2.7	2.6	2.7	2.7	2.7	2.8
Total asset turnover (x)	1.3	1.3	1.2	1.2	1.1	1.1	1.1	1.1	1.1	1.1
Financial stability ratios										
Net Debt to Equity (x)	-0.1	-0.1	-0.1	-0.0	-0.0	-0.0	-0.0	-0.1	-0.1	-0.2
Net Debt to EBITDA (x)	-0.7	-0.6	-0.4	-0.3	-0.1	-0.2	-0.1	-0.6	-1.1	-1.7
Interest cover (x)	59.5	0.3	28.7	41.1	29.6	64.0	47.1	53.1	64.1	77.5
Cash conversion days	58	60	68	50	56	38	38	38	38	38
Total Working capital days	34	38	43	28	30	18	18	18	18	18
Valuation metrics										
Fully Diluted Shares (mn)	850	850	850	850	850	850	850	850	850	850
Market cap (Rs.mn)		2,98,945								
P/E (x)	39.4	38.0	33.1	28.4	27.8	26.7	24.7	21.4	17.0	13.6
P/Sales (x)	3.0	2.4	2.0	1.9	1.8	1.7	1.6	1.5	1.4	1.3
EV (Rs.mn) (ex-CWIP)	2,89,206	2,90,305	2,92,669	2,94,212	2,96,373	2,94,712	2,96,288	2,86,240	2,72,723	2,52,969
EV/ EBITDA (x)	21.3	20.8	18.7	15.7	15.7	15.2	14.5	12.9	11.2	9.5
EV/ OCF(x)	20.5	2,383.5	34.5	14.7	22.8	13.2	18.0	15.5	12.2	9.4
FCF Yield (%)	3.6	-1.9	1.6	5.0	2.9	6.1	3.8	4.5	5.7	7.2
Price to BV (x)	4.3	2.8	2.7	2.3	2.1	2.0	1.9	1.8	1.6	1.5
Dividend yield (%)	0.8	0.8	0.0	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Dividend pay-out (%)	22.4	21.6	0.0	16.1	15.8	15.2	14.0	12.2	9.7	7.7

Crystal Ball Gazing

EXID is likely to report a revenue and PAT CAGR of ~7% & 14% respectively through FY23-FY30E. EXID to benefit from strong growth in the automotive replacement segment coupled with robust prospects in solar/e-rickshaw and renewable energy sectors. Expect sustained improvement in EBITDA margin by leveraging upon its technical tie-ups, competitive strength, and operating leverages. We, however, believe that these could be tempered by heightening competitive intensity.

Expect healthy revenue growth over the medium-term led by steady aftermarket revenue and market share gains (from unorganised sector)

	FY08-FY11	FY11-FY14	FY14-FY22	FY23-FY30E
Revenues CAGR	17%	9%	11%	7%
Gross Margin	37%	35%	35%	30%
EBITDA CAGR	23%	-2%	8%	8%
EBITDA margin	19%	15%	14%	11%
EPS CAGR	34%	-8%	7%	14%
Total Asset Turnover (x)	1.8	1.6	1.4	1.1
Total WC days	34	42	44	24
Pre-tax OCF/EBITDA (%)	87%	88%	94%	109%
Post Tax OCF as a % of IC	24%	17%	16%	12%
Debt/EBITDA	(0.0)	(0.6)	(0.5)	(0.5)

Return ratios to be under stress due to capex intensity

	FY08-FY11	FY11-FY14	FY14-FY22	FY23-FY30E
RoE (%)	26.5%	17.7%	13.1%	8.6%
RoCE (%)	23.3%	17.2%	12.9%	8.8%
RoIC (%)	38.5%	27.8%	19.6%	10.8%

Multiples would factor in Li-ion cell manufacturing though offset by negative terminal growth rate of LAB

Implied P/E multiple	FY30E EPS (Rs.)	Price target
21.1x	25.9	546

Entry = Rs. 352 @ 21.4x FY28E EPS

+

Cumulative Dividends of Rs. 0/share

+

EPS CAGR of ~14%, implied exit multiple of 21.1x on FY30E EPS

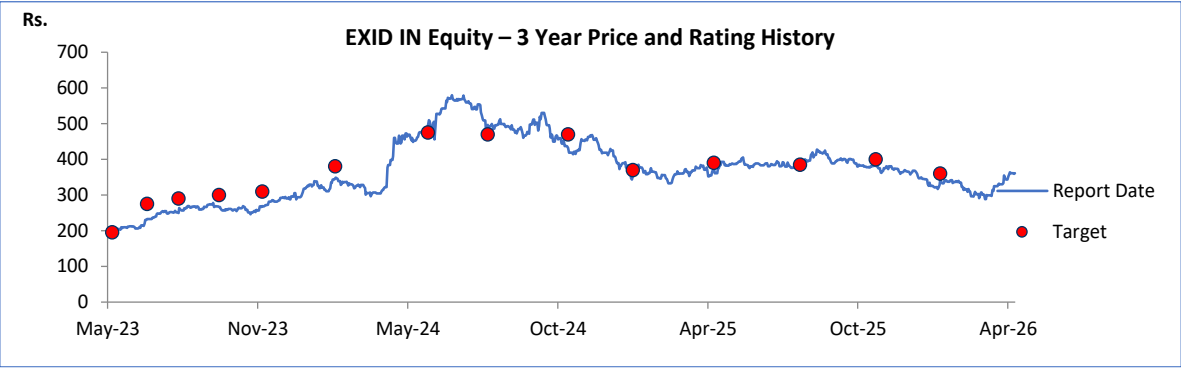
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Total Return of 55%

Glossary

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Spark Recommendation History



Absolute Rating Interpretation

BUY	Stock expected to provide positive returns of >15% over a 1-year horizon
ADD	Stock expected to provide positive returns of >5% – <15% over a 1-year horizon
REDUCE	Stock expected to provide returns of <5% – -10% over a 1-year horizon
SELL	Stock expected to fall >10% over a 1-year horizon

Symbol Interpretation

◀▶ No Change | ▼ Downgrade | ▲ Upgrade

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Report Date	CMP (Rs.)	TP (Rs.)	Reco.
04-Feb-26	328	360	ADD
18-Nov-25	383	400	ADD
19-Aug-25	376	385	ADD
07-May-25	370	390	ADD
29-Jan-25	343	370	ADD
12-Nov-24	435	470	ADD
07-Aug-24	480	470	REDUCE
27-May-24	465	475	ADD
05-Feb-24	343	380	BUY
09-Nov-23	266	310	BUY
18-Sep-23	268	300	BUY
31-Jul-23	251	290	BUY
23-Jun-23	230	275	BUY
12-May-23	190	195	ADD
16-Feb-23	181	185	ADD

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